

HR Analytics
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Week: 10
Lecture 50: Steps of compensation management

In continuation of our earlier sessions, now we will be talking about this particular function of the HR manager and its application that is about the compensation. So, here we will be talking about the what is the compensation, variable performance link pay, finding of a survey on variable pay versus the fixed pay, then the total rewards for employees, compensations philosophies, then the objectives of compensation philosophies, compensation administration process, levels and plans and the components of the pay structures and then the case study, then wage policy in India. Wages and salary administration, state regulation of wages, choices in designing a compensation system and finally, a research paper will be discussed. So, question arises what is the compensation? So, compensation is what employees receive in exchange for their contribution to the organization. Generally speaking, employees offer their services for three types of the rewards, basic pay, variable pay and the benefits are there. So, when we talk about basic pay, it is the basic compensation an employee gets, usually on a wage or salary is there.

And the variable pay it is a compensation that is linked directly to performance, accomplishment, bonuses, incentives and the stock option is there. The benefits are the indirect rewards given to an employee or a group of employees as a part of organisational membership, health insurance, vacation pay, retirement, pensions, etc. Now, whenever we are talking about this compensation, so there are two types are that is a financial or the non-financial is there. And we it refers to the wide range of the financial and non-financial rewards to employees for their services rendered to the organization.

So, financials are the wages, salaries and employee benefits are there. And this is the paid vacations and the insurance is there. Then, then it is a maternity leave is there and then there will be the free travel facilities, retirement benefits or the HRA is there, house rent allows or the non-financials are there. For example, the family picnic is there, dinner and lunch. Offering them furniture places outside of the organisations and then the company car etc.

that will be also type of this the compensation that will be offered. So, variable performance linked pay VPLP: findings of a survey on variable pay versus fixed pay. So, a survey conducted by NFO, MBL India and HT Careers shows that pay for performance is the corporate buzzword today. Indian companies are increasingly adopting the concept of variable performance-linked pay, and the major findings of the survey have been discussed as follows. The survey talks about how 73 per cent of Indian organizations have begun to offer the VPLP, which is a variable performance link pay.

It is generally paid at the 30, 10 to 30 percent of the executives fixed pay is there and it is used to extract the better performance. Now this is I would also like to add here that it is attracting talent; in talent attraction, this becomes very important. However, when we talk about variable pay, so variable pay depends on the different situations, and according to those situations, these rewards will increase. But the total cost CTC, this variable pay is included as a result of which the talent gets attracted. That is the if the situation will be favorable then I will be able to perform and then I may go to catch this salary up to the increase in addition to whatever the fixed pay is there up to the 30 per cent then in addition he will get that particular salary.

So, it is used to extract the better performance to be successful a variable performance linked pay plan should be based on transparency and the fair evaluation. So, proper communication is important to VPLP implementation is there, and the total rewards for employees are the in the case of this compensation or the base plan, for example, the wages, salary and bonuses, incentives and stock options is there. So, therefore earlier the bonuses were limited to the 8.3 to 20 percent and certain categories of employees. Now the bonuses can extend to the all the employees as a production bonus.

And the benefits are there that is health medical insurance, life disability insurance, paid time off, retirement or the pension plans, educational assistance and the work life support. While the performance and talent management is the that is the performance reviews, goal setting, talent management, training, HR development, career planning and the succession planning is there. Another way of classifying the components of compensation are the direct and indirect. So, direct will be the waste pay, there is a wages and salary and the variable pay will be the bonus, incentives and the stop option plans. Indirect will be the benefits, medical or the life insurance, paid time off, retirement pensions, workers compensations and the others are there.

So therefore, whenever we are talking about these compensations So, normally, the direct payment is discussed, while the indirect payment is a payment of compensation that will depend on the category and the different rules and regulations of the organization. Now, the compensation philosophy is about the value proposition, the

worthiness of the employee actually. What is a compensation? The worthiness of that particular employee offers to its employees and the general principles that will guide the development of the pay strategies and rewards program are there. So, this is these are the link basically from that is a job description, job specification, job profile and job concentration. So, accordingly, there will be this particular compensation that will be vary from the one category to the another category of employees.

So, here the compensation philosophies are the entitlement and the performance. And the senior-based, seniority-based pay across the board rises, then the pay scale is raised annually, that is, the increment is there, industry comparisons of the compensation only and then the Santa Claus bonuses are there, which are the additional one. The performance base is no rise for the length of service, no rises for the longer service poor performance, market adjusted, pay structure is there and the broader industry comparison. So, bonuses tied to the performance results are there. Now, basically what are the objectives of compensation philosophy? The objectives of the compensation philosophy are the attract the talent, retain the talent, ensure equity, rewards appropriately and comply with the legal rules and the ease of operation is there.

So, whenever we are talking about attracting talent, for example, in the IITs, the So, therefore, even these undergraduate students, the B.Tech students, they are getting the package of many students are getting the very high package, and these higher packages because of the attracted talent is there. But in this particular package, the component, as I mentioned earlier, is even the 30 per cent, The 30 per cent component is of the variable pay is there which is not the fixed pay. So, therefore, but the talent sees that is the in future there may be the opportunity to catch this 30 percent also. So, then they continue in the organization and it calls the retention of the employees that is the retained talent.

And when you are retaining the talent, definitely, in that case, the performance of the organization overall organization will be better, and again, we have to see those who are performers and those who are not performers. So, ensure the equity. So therefore, those who have higher performance should get higher benefits as compared to those who have moderate or low performance are there. Reward the appropriately as I mentioned that is the formula for compensation that has to be designed very carefully. So, no injustice is done.

It should not be like this that is the performers are getting less comparatively as compared to the non-performers are there. So, therefore, this particular policy of the variable pay and compensation that has to be decided accordingly to the this particular the formula which will be justifying the compensation to the all the employees. Comply with the legal rules and ease of operations. We know there is a payment of wages is there

and minimum wages act is there. So, therefore, in that case we have to ensure that whatever these compensation has been decided as per the as per rules and as per law has been paid to the all the employees.

Now, the job analysis is done and this job description and job performance will be done. So, how to decide the compensation? So, first is the analyzing the job. So, valuing the job, there is a job evaluation and the market pricing and there will be the pay service will be there. That is if these are the jobs, these are the knowledge, skill and attitude is required for this particular job, what will be the salary will be required for this particular job is there. So, pay policies will be decided on the basis of the pay structure, pay grades, and the pay ranges are there.

So, unless and until there is a proper structure, then definitely there will not be transparency and equity in the organization. This individual pay will make him perform in a better way through performance appraisal, and that will make the implementation, communication and monitoring of this particular individual pay is there. Now, what can be the different strategies for deciding the compensation? So, above the market, middle market and below the market. So, paying for the higher qualified, more productive workers to catch, to catch the talented people, then definitely in that case the compensation which is supposed to be offered that has to be the above the market. When you are attempting to balance of employer's cost and the need to contract and return employees then in that case it is a middle level is there and when paying all that the firm can afford taking advantage of the abundant supply of potential employees in a loose labor market and that will be the about the below market will be called.

So, factors affecting the compensation plan are the internal and external. The internal are the organizational strategy and attitude, ability to pay, nature of jobs and the nature of personal. And similarly, the external contingent factors affecting the compensation plan is nature of HR market, cost of living, trade unions, social factors and the legal frameworks are there. And accordingly to these particular social factor and the legal frameworks. This will be decided it is the how the external and internal contingent plans that will be decided.

So, internal contingent factors will be the organizational strategy and attitude it determines the organizational attitude and it is a remuneration is there. However, the ability to pay will depend upon the organization's compensation, whatever the earnings there. So therefore, the ROIs will be calculated on the basis of which the organization will decide Whether they are they are going to give as per the market rate or they are going for giving lower than the market rate or then higher than the market rate for that particular compensation. Nature of jobs are difficult jobs higher compensation job

evaluation is done. Now, in this case, the organization will decide that is for example a very highly skilled job is there which is required to make the productive production and productivity very high level.

Then in that case there will be the compensation will be there and job evaluation is done. Now, the nature of personnel will be the employee's related factors like performance, seniority, and special skills are there. So, this will be deciding about the nature of personnel that is what type of these their performance is there and then how long they are working into the organization and does they have any particular special skills. On basis of this the nature of personnel will be decided. So, here we will talk about organization strategies.

Then the ability to pay, nature of jobs and the nature of personnel that will decide about the contingent factors. The external contingent factors are the nature of HR market. So, demand and supply, productivity and prevailing market rates are they are becoming the very very important factors whenever any organization that decides about this particular compensation. So, cost of living will be the allowance given to the maintenance social status according to the place is there. And the trade union, union bargains with the management weapons, strikes, get outs, etc.

And this is creating the legal framework that is about the guidelines given by the laws about the like for example, Wages Act 1936. So, therefore, in that case the external contingent factors that will be creating by the society that will be creating by the corporation and accordingly the cost of living and all will be decided and then accordingly number will be told that is what will be the contingent factors that will be affecting this particular the compensation process. In the nature of HR market demand and supply, so demand for the skill of prices will also So, naturally when the productivity is the efficient employees paid the higher the productivity higher will be the payment and as I mentioned that it can be the fixed pay and it can be the variable pay also. So, therefore, in the productivity normally the variable pay is becoming very high. The prevailing market rates of the wages are there.

So, compare the wages with other companies to retain and again the talent is there. So, that will be decided. Now, what are the components of the pay structure that we will discuss? So, it is a bonus is there and the payment made under a profit-sharing scheme, the value of the house accommodation, medical allowances, then the travelling allowances and any other pay to the different special expenses incurred by the workers and the contribution to the pension provident fund that will be there. Now, here we find that is the these are the common headings are there where the pay structure has been decided. Organizations can include the number of other components of the pay structure

basis on this culture or practices are there.

For example, there are different allowances such as the servant allowance, the gardener allowance, there may be fuel reimbursements and all. So, all will be decided on the practices given by the organizations. So, Bharat Ophthalmic Glasses, where the employees benefit from the excess turnover. During the period of 1984 to 85 to 90, the gross benefit per annum to 521 employees of Bharat Ophthalmic Glasses, that is, BOG, exceeded the turnover of the company every year. The employees have successfully brought down capacity utilization to just 27 percent of the achievable capacity.

When the government released rupees 76 per lakhs to buy plant and machinery, BOG generously diverted 50 percent of the money to pay salaries and wages. National Textile Corporation has 120 mills and 1.7 lakhs workers. The accumulated losses are over 3000 crores, the yearly increase in losses being over rupees 400 crore. The 40 miles are totally useless, which is likely to become useless very soon, and the remaining 40 are terminally sick.

So, during the last 20 years, the government spent nearly rupees 2000 crores on protecting jobs. So, while in the case of the Hindustan Fertilizers Corporation Limited, the plant was shut down in August 1986, but the 1500 strong employees continue to receive all their salaries and wages totaling of rupees 150 to 175 lakhs per month. And the company seems to run on the principle no work but full pay. Even the additional installments of the DA are payable to them. And the accumulated losses up to 1992 were over rupees 1400 crore.

So, another example is of the HSE that is a heavy engineering corporation. So, it is a company almost producing nothing. It has been established just to employ labour over 17000 employees with annual losses running over rupees 100 crore. Established in collaboration with the Soviet Union and Czechoslovakia. Both these countries of these courses managed and vanished from the world map by 1992 itself.

Whenever we are talking about the wage policy in India, so a wage policy offers certain guidelines for determining a wage structure and the term wage structure refers to the various pay scales showing ranges of pay within each grade. Three important elements of the wage policy in India are minimum wage, fair wage and the living wage are there. And whenever we are talking about the minimum wage, minimum wage are the base substance of workers enough for health, efficiency and working capability. It must be invariably paid whether the company big or small makes the profit or not. Now, in calculating the minimum wages considers the standard working class family three consumption unit for the one earner is there.

So, this is the minimum wages were considered on the basis of these particular considerations. That is where how the minimum food requirement will be there on the basis of the calorie intake. Then the clothing requirement, housing requirement and the fuel lighting and other miscellaneous requirements were there. The fair wage is about the minimum wage, but below the living wage. So, according to the Committee on Fair Wage 1948, consider the productivity of labour, prevailing rate of wages, level of national income and energy distribution, place of industry in the economy and employers' capacity to pay.

Now, in the living wage it is the highest among the three. It must provide best practices amenities of life, efficiency of workers, satisfy the social needs of workers such as medical, education, retirement and so on. It is a dynamic concept which grows in the line with the growth of the national economy is there. Now, this is these are the minimum living wages are there though they are not the highest but the it must having the certain the sufficient wages so that the one family can live and there can be the with the grows in line with the national economy is there. So, wages and salary administration in the process of managing a company's compensation, base compensation as well as the supplementary programs.

So, supplementary compensation signifies incentive payments based on the actual performance of an employee. And the base compensation here refers to voluntary payments to employees in the form of wages and salaries. It is a fixed non-incentive kind of payment calculated on the basis of the time spent by an employee on the job. Now, the objectives of the wage and salary administrations are. The first is to establish a fair and equitable remuneration, which I have discussed in the previous slide.

That is how we can maintain this particular fair and equitable remuneration so that there can be all the employees do not feel any discrimination. To attract competent personnel is there and here it becomes important that they have this particular competency mapping of these employees with whatever salaries they are getting. So, therefore, in that case those who are highly competent they will have the principle of natural justice and they will have the satisfaction and they will continue in the within the organizations. To retain these present employees and therefore, in that case, they will be thinking of how they can make this compensation which will be able to retain those employees at the workplace, and employees will not leave.

To control the labour cost. Now, we also have to see the overhead cost that has to be taken care of, and on one side, it should not be low other side, it should not create any problem of sustainability for the organization. And to improve the motivation and moral

of the employees these wages and salary administration should work. So that because these wages and salary and that decides about that is the how they will be able to create this type of the services which will be making them important for the performance is there. Now, the project a good image of the company, overall the requirement is there for the good image of the company is there. Now, different organizations will have different wages and salary administration, and these different wages and salary administration they will work on.

That is how they will be able to control the labor cost on the one way and on the other side, they will be able to attract the talent. And now there are many practices are there which are have been preferred by the organization. Nowadays when we are talking about the deduction of the cost most of the organizations they have started wherever possible that is about the work from home and that becomes an example. So, that that is the you can have that particular support by the employees because they are socially they are facing the less problems and therefore their retention in the present employees it becomes higher. Similarly, whenever we are talking about controlling labour costs and then in that case it becomes highly important that the employees get this equilibrium.

And therefore that equity of the equilibrium that will be created. I would like to give an example here with the help of this particular diagram, and therefore, here, we will talk about that is how equity has to be created in the fixation of wages. So, here it will be the their the job performance that will be the low, medium and high expectations. Similarly, the salary will be the low compensation will be low, medium and high. Now, when we talk about the principle of equity, it will be like this, and therefore, in that case, that is the low-performance expectations and the low salary will be there.

So, here will be the the equity of compensation. When we are talking about the regulation of wages where these particular compensation and there the moderate performance is expected and there will be the moderate salary will be there. So, equity will be the this particular equity will be there. Similarly, when we are talking about the high performance and the high wages compensation, then it will be the equity will be here. So, therefore, this will be the equity. But when there is a low performance and high wages, so therefore, it is the overpaid is there.

So, we will say it is the overpaid is there. Similarly, the high performance and low is there, so this is the underpaid is there, this implies the underpaid is there. So, we have to take care that is in the compensation management that is we have this particular aspect that is then there should be the equity neither they are the overpaid neither they are the underpaid are there. Now in the case of this state regulation of wages are concerned and here we will talk about that is the how we are going to make this particular aspect that is

the here the we have to create this equity and the government that helps us through the laws that is the how we can create that particular equity is there. So, it will be very important that whenever we are talking about this aspect, then naturally, we have to create here that is whatever procedures we are creating and that particular procedure that has to be as per the rules and regulations of the wages. For example, in the fixation of wages it is the employers are there.

So, therefore, the rules and regulations will be there to guidelines the employer that is the there should not be any dispute related to these particular wages are there. If there is any dispute is there, then there will be the collective bargaining will be there and therefore, in that case whenever we are talking about. So, normally in once in a 3 years there will be the agreement and that is about the collective bargaining agreement will be there. This will be under the legislation that is the labour laws which are prevailing at that time. Then there will be the different wage boards will be there which for the different nature of industries.

So, for example, I have taken the example of textile industries. So, if the textile industry is there, then definitely, in that case, we will see that is how we are going to take this particular aspect of the wage boards. So, they will decide about that is what is the right wage system for the textile industry. Similarly, the pay commissions are there and how they are making this particular pay commissions. So, the choices in designing a compensation system will be internal versus external pay, fixed versus variable pay, performance versus membership, below market versus above market and open versus cigarette pay is there.

The fixed pay versus variable pay is becoming very, very popular. Performance base versus the membership, it is not at the time of recruitment and selection, but at the time of the employees, internal employees, this will be very, very important. And the compensation that is followed by a firm should be in tune with its own unique character and culture and allow the firm to achieve its strategic objectives. A variety of choices confront a firm here. So therefore, these are the wages and compensation that have to be decided accordingly. Now, I would like to refer to this particular research paper, Top Management Compensation and Capital Structure general category of the extra category of general finance.

This paper has been published and dwells on how the design and mix of a firm's external financial claims influence the optimal structure of the top management compensation. It asserts that managerial compensation strategies should address not just the agency conflict between the shareholders and the management, but also mitigate conflicts of interest arising from the other contractual relationship within the firm. The objectives of

this paper are the analyze the impact of capital structure on management compensation to investigate how the presence of equity, risky debt and convertible debt affects the structure of top management compensation. Minimum wages agency cost to design the managerial compensation schemes that align with the shareholder's interest while minimizing the agency cost associated with the debt financing and deriving the optimal compensation structures. So, to propose the optimal compensation structures under the different financial configurations of the firm emphasizing equity and the debt considerations are there.

The findings of this particular paper are the influence of debt on compensation; the presence of risky debt necessitates compensation structures that are less sensitive to pay performance to mitigate the restricting behaviour by management. In contrast with convertible debt an optimal compensation structure might closely align with the shareholder interest, showcasing high pay performance sensitivity. Optimal compensation strategies suggest that the pay-performance sensitivity in managerial compensation is inversely related to the level of the firm's debt. This insight consults with the empirical evidence of the negative correlation between management securities checks and the firm leverage. Empirical consistency findings along with the observed trends in corporate America, including the low sensitivity of the CEO compensation to firm performance and its decline over the years, particularly as the firm's capital structure has become more complex.

So, finally, we can conclude that the research significantly contributes to the understanding of corporate finance by highlighting the need to consider the broader implications of the capital structure decisions on managerial incentives and overall firm governance is there. So, in this session, we have talked about that is what are the different concepts and methods for compensation management are there. So, you will be understand that you have to take the care of the nature of industries, the social factors, variable factors and also the legal aspect while deciding the compensation. Thank you.